Paper 1 Diagnostic Test: Topics 2.1–2.5

IGCSE Economics · 20 multiple-choice questions · 1 mark each · Time: 30 minutes

Score / 20

Name: Class: Date:

Instructions

1. Answer **all 20** questions. Choose the **one** best answer (A, B, C or D) and write the letter in the box.
   Trả lời cả 20 câu. Chọn một đáp án đúng nhất (A, B, C hoặc D) và viết chữ cái vào ô.
2. If you are **not sure** of an answer, still choose one, and write **?** in the small dashed box next to it.
   Nếu em chưa chắc chắn, vẫn chọn một đáp án và viết dấu **?** vào ô nét đứt nhỏ bên cạnh.
3. This test is not about your grade. It helps you find your **strong and weak areas**, so please don't copy or guess randomly.
   Bài này không tính điểm. Bài giúp em tìm ra phần mình làm tốt và phần còn yếu, nên đừng chép bài hoặc đoán bừa.

2.1 Markets and the price mechanism

1 A garment factory in Bình Dương decides to use more sewing machines and fewer workers. Which basic economic question is the factory answering?

A What to produce?
B For whom to produce?
C How to produce?
D When to produce?

2 Which of these is an example of a factor market?

A A café hires a new barista
B A student buys a bánh mì at a stall
C A family buys a new motorbike
D A tourist pays for a hotel room

3 During a heatwave in Hồ Chí Minh City, the price of bottled water rises. What does the higher price signal to producers?

A Their costs of production have risen
B The government wants more water sold
C Consumers want to buy less water
D Consumers want to buy more water

4 A popular concert has only 2,000 tickets, but 5,000 fans want one. The price rises from 300,000₫ to 500,000₫, until only 2,000 fans still want to buy a ticket. Which function of the price mechanism does this show?

A Signalling
B Rationing
C Incentive
D Subsidising

2.2 Demand

5 What is meant by demand?

A The amount consumers are willing and able to buy at each price
B The amount consumers would like to buy if they had more money
C The amount firms are willing and able to sell at each price
D The amount of a good that consumers need to live a good life

6 The price of a cup of trà sữa falls from 40,000₫ to 30,000₫. Nothing else changes. What happens in the market for trà sữa?

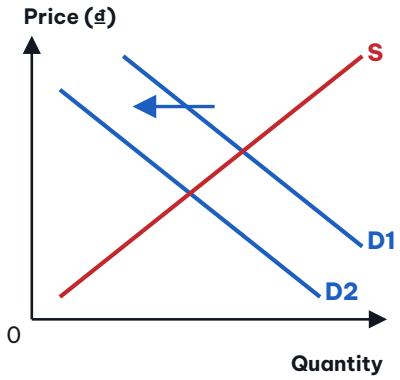
A Demand increases: the curve shifts right
B Demand decreases: the curve shifts left
C Extension in demand: a move down the curve
D Contraction in demand: a move up the curve

7 The table shows how many bánh bao three students buy each week at different prices. What is the **market demand** at a price of 20,000₫?

Price of a bánh bao (₫)	Lan	Minh	Huy
30,000	2	1	0
25,000	3	2	1
20,000	5	4	3
15,000	7	6	4

A 6
B 12
C 17
D 4

8 The diagram shows the market for petrol motorbikes. What could cause the change from D1 to D2?



A A fall in the price of petrol motorbikes
B A successful advertising campaign
C A fall in the price of petrol
D A fall in the price of electric motorbikes

2.3 Supply

9 Which of these causes an **extension in supply** of mangoes?

A Farmers start to use new picking machines
B The market price of mangoes rises
C Wages paid to farm workers fall
D The government gives farmers a subsidy

10 Which of these will shift the supply curve of coffee to the **left**?

A A subsidy paid to coffee farmers
B New, faster harvesting machines
C A fall in the market price of coffee
D A long drought in Đắk Lắk province

11 The government puts an indirect tax on sugary soft drinks. How is this shown on a demand and supply diagram?

A The supply curve shifts left
B The supply curve shifts right
C The demand curve shifts left
D A move down the supply curve

12 The minimum wage for factory workers rises. Why does the supply of shoes decrease?

A Firms want more profit, so they make more shoes
B Consumers buy fewer shoes at every price
C Costs rise, so firms supply fewer at every price
D The price of shoes rises, so firms supply fewer

2.4 Price determination

13 What is meant by the **equilibrium price** in a market?

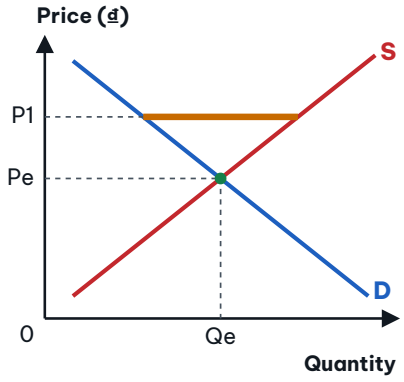
A The price at which firms make the most profit
B The price at which the demand curve shifts
C The price the government sets for a good
D The price at which quantity demanded equals quantity supplied

14 The table shows the market for bánh mì in a school canteen. The canteen sets the price at 15,000₫. What is the situation in the market?

Price of a bánh mì (₫)	Quantity demanded per day	Quantity supplied per day
30,000	60	180
25,000	90	150
20,000	120	120
15,000	150	90
10,000	180	60

A A surplus of 60
B A shortage of 60
C A surplus of 150
D A shortage of 90

15 The diagram shows a market where the price is at P1. What will happen next in a free market?



A Price rises; quantity demanded contracts
B Price rises; quantity supplied extends
C Price falls; quantity supplied contracts
D Price falls; the supply curve shifts left

16 Use the canteen table in Question 14 again. What are the equilibrium price and quantity?

A 20,000₫ and 120 bánh mì
B 25,000₫ and 150 bánh mì
C 20,000₫ and 240 bánh mì
D 15,000₫ and 150 bánh mì

2.5 Price changes

17 Just before Tết, demand for peach blossom branches (hoa đào) increases as families decorate their homes. What happens to the equilibrium price and quantity of hoa đào?

A Price falls, quantity rises
B Price falls, quantity falls
C Price rises, quantity rises
D Price rises, quantity falls

18 The weather in the Mekong Delta is very good this year, and farmers grow a very large crop of mangoes. What happens to the equilibrium price and quantity of mangoes?

A Price falls, quantity rises
B Price rises, quantity falls
C Price rises, quantity rises
D Price falls, quantity falls

19 A famous singer drinks trà sữa in a music video, and demand for trà sữa increases. Which is the correct order of events?

A Price rises → demand shifts right → shortage → supply extends
B Demand shifts right → surplus → price falls → supply contracts
C Shortage → demand shifts right → price rises → supply shifts right
D Demand shifts right → shortage → price rises → supply extends

20 In the market for electric motorbikes, consumers' incomes rise (electric motorbikes are a normal good). At the same time, new battery technology lowers production costs. Which result is **certain**?

A The equilibrium price will rise
B The equilibrium quantity will rise
C The equilibrium price will fall
D The equilibrium quantity will fall

End of test. Check that you have written a letter in every box. Your teacher will give you the answer key to find your weak areas.